Lulutai Airlines Ltd
Wings of the Kingdom of Tonga

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REF: LTA/CEO 026/016

18th May, 2026

Ms. Kilisitina Tuaimeiapi
Chief Executive Officer
Ministry of Finance
Government of Tonga
Tonga.

Submission of Lulutai Airline's Proposed Fuel Surcharge for Fuel Crisis Support

Dear CEO,

I respectfully submit the attached proposal regarding the implementation and support of an Airline Fuel Surcharge mechanism in response to the ongoing global fuel price crisis and its significant impact on domestic aviation operations.

As you are aware, the continued escalation in aviation fuel costs has placed considerable financial pressure on airline operators worldwide, including Lulutai Airlines. The increase in operational expenses directly affects the sustainability of essential domestic air services that support national connectivity, tourism, commerce, and public mobility across the Kingdom.

The proposed fuel surcharge framework is intended to provide temporary operational relief and ensure continuity of services while minimizing the broader economic impact on passengers and the national transport sector. This proposal outlines the fuel surcharge amount that spread over the next 14 month.

We respectfully seek the Ministry's review and consideration of this proposal, including possible government support measures or policy endorsement that may assist in stabilizing domestic aviation services during this challenging period.

The logic for the change, which includes a cost per flight recovery basis to maintain neutral fuel impacts are as follows:

1. THE STRATEGIC LOGIC

The primary objective of this revised surcharge is to insulate Lulutai Airlines from extreme external volatility during a period of significant geopolitical instability. Our historical operational baseline for Jet A1 fuel of **T$ 2.63 per liter** has been fundamentally shifted by the recent price increase to **T$ 4.18 per liter**, representing a **60.7% surge** in the current period.

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- The "One-Shot" Approval Strategy: Since the government has indicated a single approval window for the upcoming months, our request is based on forward-looking risk management rather than static current pricing.
- The War-Ceiling Approach: If conflict in the Middle East persists, market intelligence and logistic premiums suggest Jet A1 landed costs in Nuku'alofa could reach a War-Ceiling of T$ 6.00 per liter.
- Approval Stability: Establishing the surcharge at this ceiling prevents the need for recurrent political negotiations and ensures the airline is protected against further market shocks for the duration of the 15-month agreement.
- Cash Reserve Preservation: Historical cost data indicates that fuel represents approximately 18% of the airline's total operating expenditure. This surcharge is designed to achieve cost neutrality regarding fuel variance for every hour flown, calculated against the total physical seat capacity of the fleet.

2. MARKET INTELLIGENCE BRIEF

The move to a T$ 6.00 ceiling is supported by three primary market indicators:

- Supply Chain Rupture: Potential hostilities involving Iran threaten the Strait of Hormuz, a critical transit point for global oil; any prolonged closure would force Pacific suppliers to source from more expensive, distant refining hubs.
- War-Risk Insurance: Tanker insurance premiums for vessels entering Pacific waters have spiked significantly (between 50-500%), due to regional instability, adding a direct "logistics premium" to the landed cost of fuel in Tonga.
- Spot Market Transition: Regional fuel providers have largely moved away from long-term fixed-price contracts to spot-market pricing, exposing Lulutai to daily price fluctuations at major trading hubs.

3. THE MATHEMATICAL LOGIC

The surcharge is calculated by identifying the Fuel Price Delta (Δ) and applying it to the specific burn rates of the fleet against the physical seat capacity of each aircraft.
Baseline Variables:

- Historical Baseline: T$ 2.63 per liter.
- Projected War-Ceiling: T$ 6.00 per liter.
- Price Delta Δ: $6.00 - 2.63 = T$ 3.37 per liter.
- Saab 340 Burn Rate: 550 Liters per block hour.
- DHC-6 (Twin Otter) Burn Rate: 325 Liters per block hour.
- Y12 Burn Rate: 300 Liters per block hour.

A detailed calculation of the proposed surcharges is provided with this letter for your consideration.

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Lulutai Airlines remains committed to maintaining safe, reliable, and affordable air transport services for the people of Tonga. We appreciate the Ministry's continued support and collaboration in addressing the current fuel crisis and safeguarding national connectivity.

Please do not hesitate to contact us should further information or clarification be required. We would welcome the opportunity to discuss the proposal in greater detail at your convenience.

Thank you for your consideration.

Respectfully,

Clive Fua
Chief Executive Officer
Lulutai Airlines Ltd

cc: LTA Board of Directors